Regulatory Circular Summary

Synthetic, illustrative summary for the LoanLens AI hackathon demo. Not legal text.

1. Purpose

Summarises regulatory expectations Kestrel Bank follows for retail loans.

2. Key Fact Statement

A Key Fact Statement with all-in cost must be given to the borrower
before the loan agreement is signed.

3. Foreclosure on Floating Rate Loans

No foreclosure or prepayment charges on floating rate term loans
to individuals for non-business purposes.

4. Reasons for Rejection

Reasons for rejecting a loan application must be communicated to the applicant in writing.

5. Digital Lending Disbursal

Loan amounts are disbursed directly into the borrower’s own bank account.

6. Penal Charges

Penal charges are not added to the interest rate and are not capitalised.